

The Suez Canal greatly shortened travel times—and eased journeys—between parts of the British Empire, such as England and India. That distance of 10,800 nautical miles was cut by more than 40 percent, to just 6,200 nautical miles.

-  Suez Canal
-  Route via Suez Canal
-  Previous route
-  Countries ruled by British Empire



production increased from 100,000 bales in 1800 to 4 million in 1860. During the American Civil War, the southern, Confederate states restricted exports of cotton in an attempt to force European intervention in the war. However, the ploy failed, since Britain merely increased its imports of raw cotton from India. After weaving the cotton, it then exported it back to India at substantial profits.

Global finance

New types of merchant ships—mainly refrigerated vessels—were also being built. Such developments show how technology helped drive trade, making it possible to reach global markets. The cattle and sheep farms in South America (especially Argentina), Australia, and New Zealand were growing in size in line with their own populations. At the same time, the number of people in Europe was also increasing—for example, Britain swelled from 28 million to 35 million between 1850 and 1880.

Feeding and clothing the populations were important priorities. Wool could be easily transported, but lamb and beef could not be shipped because it would rot en route—until 1877, when 80 tons of frozen beef were shipped from Argentina to France on board the world's first refrigerated ship. By 1881, regular shipments of frozen meat were traveling between Australia and Britain. The first shipment of lamb from New Zealand was made the following year. There was a vast increase in the export of meat from all three countries—New Zealand, for example, exported 2.3 million frozen sheep in 1895, 3.3 million in 1900, and 5.8 million in 1910.

The demand for cotton—above all in the great textile mills of the northwest of England, which by 1850 were producing up to 50 percent of the world's cloth—led to an enormous surge in cotton growing. In the southern states of the US, raw cotton

This complex trading network could not have grown without developments in banking and financing. Throughout the late 19th century, new banks were established, their capital used to support enterprises around the world. At the same time, London emerged as the world's financial capital. By the end of the 19th century, the British pound sterling, its value pegged at 113 grains of gold, was the currency against which all others were measured.

Western overseas investments dramatically increased. By 1914, the United States had overseas assets worth \$3.5 billion, Germany \$6 billion, France \$8 billion, and Britain almost \$20 billion. Between them, North America and northern Europe's share of world income in 1860 was about \$4.3 billion a year, 35 percent of the world's total. In 1914, it was \$18.5 billion, 60 percent of the world's total.

Patterns of imperialism varied over the 19th century. In the British Empire, for example, clear and increasing distinctions were drawn between those colonies—in Africa and Asia, above all—whose native populations were governed by Europeans, and those—such as Canada, South Africa, Australia, and New Zealand—deemed capable of self-government. By 1907, all four had been granted dominion status. It was not a privilege extended to a single British African colony or to India. ■